Industry

940 Financial Services—Brokers and Dealers

940 Financial Services—Brokers and Dealers

10 Overall

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

940-10-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
940-10-05-1	Amended	Accounting Standards Update No. 2014-09	05/28/2014

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

940-10-05-1 The Financial Services—Brokers and Dealers Topic includes the following Subtopics relating specifically to brokers and dealers in securities (broker-dealers):

a. Overall
b. Broker-Dealer Activities
c. Receivables
d. Investments—Debt and Equity Securities

e. Investments—All Other
f. Other Assets and Deferred Costs
g. Liabilities
h. Subparagraph superseded by Accounting Standards Update No. 2014-09.
i. Consolidation
j. Fair Value Measurements.

940-10-05-2 Each Subtopic provides background on the guidance provided.

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General Note for Financial Instruments: Some of the items subject to the guidance in this Subtopic are financial instruments. For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic 825. See Section 825-10-15 for guidance on the scope of the Financial Instruments Topic.

General

> Overall Guidance

940-10-15-1 The Subtopics within the Financial Services—Brokers and Dealers Topic only provide incremental industry-specific guidance for the entities defined in this Scope Section, or as further defined in the Scope Sections of the individual Subtopics. Entities within the scope of this Topic shall also comply with the applicable guidance not included in this Topic.

> Entities

940-10-15-2 The Financial Services—Brokers and Dealers Topic provides guidance for all entities that are brokers and dealers in securities (broker-dealers).

940 Financial Services—Brokers and Dealers

20 Broker-Dealer Activities

00 Status

General Note: The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

940-20-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
Contract	Added	Accounting Standards Update No. 2014-09	05/28/2014
Customer	Added	Accounting Standards Update No. 2014-09	05/28/2014
Performance Obligation	Added	Accounting Standards Update No. 2014-09	05/28/2014
Revenue	Added	Accounting Standards Update No. 2014-09	05/28/2014
940-20-05-3	Amended	Accounting Standards Update No. 2014-09	05/28/2014
940-20-15-4	Amended	Accounting Standards Update No. 2014-09	05/28/2014
940-20-25-2	Amended	Accounting Standards Update No. 2014-09	05/28/2014
940-20-25-7	Amended	Accounting Standards Update No. 2012-04	10/01/2012
940-20-35-1 through 35-3	Amended	Accounting Standards Update No. 2012-04	10/01/2012

05 Overview and Background

General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

940-20-05-1 This Subtopic addresses certain activities engaged in by brokers and dealers in securities (broker-dealers). The guidance in this Subtopic is presented in the following three Subsections:

a. General
b. Clearing
c. Underwriting.

940-20-05-2 The General Subsections provide guidance on matters such as commissions, soft-dollar arrangements, mutual fund distribution fees, agency transactions, and broker-dealer financial presentation.

> Commissions

940-20-05-3 Acting as an agent, a broker-dealer may buy and sell securities on behalf of its customers. In return for such services, the broker-dealer charges a commission.

> Soft-Dollar Arrangements

940-20-05-4 Soft-dollar arrangements generate commission income for the broker-dealer. Many of these soft-dollar arrangements are oral, and the value of the research to be provided is typically based on a percentage of commission income. Soft-dollar customers are typically institutional investors or money managers. Soft-dollar research may be generated either internally by the broker-dealer or purchased by the broker-dealer from a third party.

> Mutual Fund Distribution

940-20-05-5 Broker-dealers may contract with one or more mutual funds to act as the registered distributor of the mutual fund's shares, assisting the fund in selling and distributing its shares. If a broker-dealer undertakes the responsibility for selling and distributing fund shares, it will incur different types of costs, the most common of which are commissions paid to those of its representatives who arrange fund sales. To compensate a broker-dealer for those selling efforts, mutual funds may establish some form of a fund-charge and shareholder-commission structure that provides fees to the broker-dealer either at the time of sale or over a specified period of time. Two common forms of compensation are the following:

a. A front-end commission paid to the broker-dealer by the fund shareholder at the time of sale
b. A 12b-1 distribution fee, which is paid by the fund over a period of time based on a percentage of the fund's daily net asset levels, together with a deferred sales charge, which is a commission

paid to the broker-dealer by the shareholder at the time the shareholder exits the fund. Deferred sales charges are often charged to the shareholder in decreasing amounts over time.

Clearing

940-20-05-6 The Clearing Subsections provide guidance for a broker-dealer's clearing operations.

> Dividend Department

940-20-05-7 The dividend department maintains a record of securities that the broker-dealer fails to receive or deliver on the record date. Securities received or delivered against fails that were open on the record date and that are in the name of the delivering broker should be accompanied by due bills. A due bill is an official authorization allowing the purchasing broker-dealer to make a legal claim on the selling broker-dealer for a future distribution to which it is entitled. For cash dividends or interest payments, this typically takes the form of a postdated check. It is usually the responsibility of the dividend department to collect or authorize payments for transactions of this nature.

> Suspense Accounts

940-20-05-8 Because of the number of transactions that take place when trades are cleared for the broker-dealer or its customers, unreconciled differences and trading errors occur. A broker-dealer often has several suspense accounts to facilitate the resolution and identification of differences.

Underwriting

940-20-05-9 The Underwriting Subsections provide guidance for a broker-dealer's underwriting activities.

940-20-05-10 There are several different ways in which a broker-dealer may participate in the underwriting of a new issue of securities. The broker-dealer may be the managing or lead underwriter, a member of the syndicate, or a member of the selling group. Such participation may be on any of the following bases:

a. Firm commitment
b. Standby
c. Best efforts
d. All or none.

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

ⓘ **General Note for Financial Instruments:**Some of the items subject to the guidance in this Subtopic are financial instruments. For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic 825. See Section 825-10-15 for guidance on the scope of the Financial Instruments Topic.

General

> Overall Guidance

940-20-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section 940-10-15.

> Instruments

940-20-15-2 For the scope application of Subtopic 815-10 to contracts for the purchase or sale of when-issued securities or other securities that do not yet exist, see paragraph 815-10-15-17.

Clearing

> Overall Guidance

940-20-15-3 The Clearing Subsections follow the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section 940-10-15.

Underwriting

> Overall Guidance

940-20-15-4 The Underwriting Subsections follow the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section 940-10-15.

20 Glossary

ⓘ **General Note:**The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master

Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Contract

An agreement between two or more parties that creates enforceable rights and obligations.

Customer

A party that has contracted with an entity to obtain goods or services that are an output of the entity's ordinary activities in exchange for consideration.

Fail-to-Deliver

A fail-to-deliver is a securities sale to another broker-dealer that has not been delivered to the buying broker-dealer by the close of business on the settlement date.

Fail-to-Receive

A fail-to-receive is a securities purchase from another broker-dealer not received from the selling broker-dealer by the close of business on the settlement date.

Fair Value

The price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

Floor Broker

A member of a securities exchange who executes transactions on the floor of an exchange for the account of that member's own entity or for the account of other member entities. Broker-dealers often engage floor brokers, who are responsible for executing securities transactions on the exchanges for the account of the broker-dealer. Floor brokers employed by the entity may execute trades on behalf of other broker-dealers, for which the entity is paid a brokerage fee. The purchase and sale department of the broker-dealer maintains the records of floor brokerage fees that are due to other broker-dealers who execute orders on the entity's behalf and brokerage fees due from other broker-dealers.

Market Participants

Buyers and sellers in the principal (or most advantageous) market for the asset or liability that have all of the following characteristics:

a. They are independent of each other, that is, they are not related parties, although the price in a related-party transaction may be used as an input to a fair value measurement if the reporting entity has evidence that the transaction was entered into at market terms

b. They are knowledgeable, having a reasonable understanding about the asset or liability and the transaction using all available information, including information that might be obtained through due diligence efforts that are usual and customary

c. They are able to enter into a transaction for the asset or liability

d. They are willing to enter into a transaction for the asset or liability, that is, they are motivated but not forced or otherwise compelled to do so.

Orderly Transaction

A transaction that assumes exposure to the market for a period before the measurement date to allow for marketing activities that are usual and customary for transactions involving such assets or liabilities; it is not a forced transaction (for example, a forced liquidation or distress sale).

Performance Obligation

A promise in a contract with a customer to transfer to the customer either:

a. A good or service (or a bundle of goods or services) that is distinct

b. A series of distinct goods or services that are substantially the same and that have the same pattern of transfer to the customer.

Regular-Way Trades

Regular-way trades include both of the following:

a. All transactions in exchange-traded financial instruments that are expected to settle within the standard settlement cycle of that exchange (for example, three days for U.S. exchanges)

b. All transactions in cash-market-traded financial instruments that are expected to settle within the time frame prevalent or traditional for each specific instrument (for example, for U.S. government securities, one or two days).

Related Parties

Related parties include:

a. Affiliates of the entity

b. Entities for which investments in their equity securities would be required, absent the election of the fair value option under the Fair Value Option Subsection of Section 825-10-15, to be accounted for by the equity method by the investing entity

c. Trusts for the benefit of employees, such as pension and profit-sharing trusts that are managed by or under the trusteeship of management

d. Principal owners of the entity and members of their immediate families

e. Management of the entity and members of their immediate families

f. Other parties with which the entity may deal if one party controls or can significantly influence the management or operating policies of the other to an extent that one of the transacting parties might be prevented from fully pursuing its own separate interests

g. Other parties that can significantly influence the management or operating policies of the transacting parties or that have an ownership interest in one of the transacting parties and can significantly influence the other to an extent that one or more of the transacting parties might be prevented from fully pursuing its own separate interests.

Revenue

Inflows or other enhancements of assets of an entity or settlements of its liabilities (or a combination of both) from delivering or producing goods, rendering services, or other activities that constitute the entity's ongoing major or central operations.

Soft-Dollar Arrangements

An arrangement in which a broker-dealer provides research to a customer in return for trade order flow (a certain volume of trades) from that customer.

25 Recognition

General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General Note for Fair Value Option: Some of the items subject to the guidance in this Subtopic may qualify for application of the Fair Value Option Subsections of Subtopic 825-10. Those Subsections (see paragraph 825-10-05-5) address circumstances in which entities may choose, at specified election dates, to measure eligible items at fair value (the fair value option). See Section 825-10-15 for guidance on the scope of the Fair Value Option Subsections of the Financial Instruments Topic.

General

> Agency Transactions

940-20-25-1 Transactions executed by broker-dealers as agents for customers shall not be reflected in the statement of financial condition of the broker-dealer unless the transaction fails to settle on the contracted settlement date. Because the broker-dealer typically delivers cash or financial instruments on behalf of the customer, if the customer fails on the settlement date, the broker-dealer shall record the transaction (for example, as a fail-to-receive from customer, payable to customer, or stock borrowed or loaned on behalf of customer).

> Commissions

940-20-25-2 For securities purchased, the commission shall be recorded as a receivable from customers; for securities sold, commission shall be recorded as reductions in the payable to customers. The commission income shall be recognized in revenue by the broker-dealer when (or as) it satisfies its performance obligations under the contract in accordance with Topic 606 on revenue from contracts with customers. Related expenses shall be accrued by the broker-dealer on the trade date, because substantially all the efforts in generating the commissions have been completed.

940-20-25-3 At the date of the statement of financial condition, the broker-dealer should analyze both the commission income generated from soft-dollar customers and the research provided to the soft-dollar customers to determine whether a liability should be accrued for research due to customers based on the commission income generated or whether any soft-dollar expenses have been prepaid and need to be deferred.

Clearing

> Fail-to-Deliver

940-20-25-4 A broker-dealer that sells securities, either for its own account or for a customer's account, but does not deliver the securities on the settlement date shall record the fail-to-deliver as an asset in the receivable account due from broker-dealers.

> Fail-to-Receive

940-20-25-5 A broker-dealer that purchases securities, either for its own account or for a customer's account, but does not receive the securities on the settlement date shall record the fail-to-receive as a liability to the selling broker-dealer.

> Suspense Accounts

940-20-25-6 Trading errors shall be recorded in the broker-dealer's error suspense account until they are resolved. Unreconciled differences shall be recognized at the amount of the transaction with an appropriate valuation account until a determination of the cause of the differences is made and the differences are resolved.

> Conditional Transactions

940-20-25-7 Certain transactions (for example, those for when-issued securities) are, by their nature, conditional; that is, their completion is dependent on the occurrence of a future event or events. For those conditional transactions in which completion is assured beyond a reasonable doubt, the recognition of the transactions and related profit and loss shall be the same as for unconditional transactions. For those conditional transactions in which completion is not assured beyond a reasonable doubt, only fair value losses shall be recognized, while fair value gains shall be deferred.

> Floor Broker

940-20-25-8 If the floor broker is employed by the broker-dealer, any costs associated with the floor broker's employment are generally reported as employee compensation. Costs paid to independent floor brokers or floor brokers of other entities for trades on behalf of the broker-dealer are generally reported as floor brokerage expense.

30 Initial Measurement

ⓘ **General Note**:The Initial Measurement Section provides guidance on the criteria and amounts used to measure a particular item at the date of initial recognition.

Clearing

> Fail-to-Deliver

940-20-30-1 A fail-to-deliver asset shall be measured initially at the selling price, including any accrued interest.

> Fail-to-Receive

940-20-30-2 A fail-to-receive liability shall be measured initially at the amount of money representing the purchase price of the securities, including any accrued interest. That is, liabilities related to broker-dealer operations, such as fails-to-receive and securities sold under agreements to repurchase (known as repurchase agreements or repos), shall be recorded at contract amounts or the fair value of collateral to be returned.

35 Subsequent Measurement

ⓘ **General Note**:The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

Clearing

> Conditional Transactions

940-20-35-1 Fair value gains deferred under paragraph 940-20-25-7 shall be recognized when the uncertainty is eliminated.

> Suspense Accounts

940-20-35-2 Securities underlying amounts in suspense accounts shall be subsequently measured at fair value, and the gain or loss shall be recognized in income.

Underwriting

940-20-35-3 With respect to the underwriting of issues that trade before the settlement date, the broker-dealer shall subsequently measure at fair value any shares that it is firmly committed to purchase but that have not yet been subscribed to by customers.

45 Other Presentation Matters

General Note:The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

> Statement of Financial Condition Classification

940-20-45-1 Current and noncurrent classifications (see Subtopic 210-10) are ordinarily not presented in the statement of financial condition because such a distinction normally has little meaning for brokers and dealers.

940-20-45-2 The broker-dealer's share (assuming such share is not merely contingent) in underwriting or joint accounts with other broker-dealers for issued securities shall be included with its trading accounts.

940-20-45-3 Payables and receivables arising from unsettled regular-way transactions may be recorded net in an account titled net receivable (or payable) for unsettled regular-way trades.

50 Disclosure

General Note:The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

Related Proposed ASUs

> Contractual Commitments

940-20-50-1 Broker-dealers acting as principals in underwriting and when-issued contracts have contractual commitments. Disclosure shall be made of such commitments.

940 Financial Services—Brokers and Dealers 210 Balance Sheet

00 Status

General Note: The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

940-210-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
940-210-05-1	Added	Accounting Standards Update No. 2018-09	07/16/2018
940-210-15-1	Added	Accounting Standards Update No. 2018-09	07/16/2018
940-210-45-1	Added	Accounting Standards Update No. 2018-09	07/16/2018

05 Overview and Background

General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

940-210-05-1 This Subtopic provides guidance on the offsetting and combining of amounts in the balance sheet of brokers and dealers.

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

940-210-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic; see Section 940-10-15.

45 Other Presentation Matters

General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

940-210-45-1 See Section 210-20-45 for guidance on offsetting.

940 Financial Services—Brokers and Dealers 310 Receivables

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

940-310-05-1 This Subtopic only provides a link to guidance on receivables of brokers and dealers in securities (broker-dealers).

940-310-05-2 For guidance on receivables that are part of a financial-restructuring transaction (as described in paragraphs 940-325-05-1, 940-325-30-1 and 940-325-35-1), see Subtopic 940-325.

940 Financial Services—Brokers and Dealers

320 Investments—Debt and Equity Securities

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

940-320-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
Financial Asset (2nd def.)	Amended	Accounting Standards Update No. 2016-19	12/14/2016
Repurchase Agreement	Amended	Accounting Standards Update No. 2014-11	06/12/2014
Repurchase Agreement (1st def.)	Added	Accounting Standards Update No. 2014-06	03/14/2014

Repurchase Agreement (2nd def.)	Superseded	Accounting Standards Update No. 2014-06	03/14/2014
Reverse Repurchase Agreement	Superseded	Accounting Standards Update No. 2014-06	03/14/2014
940-320-05-3	Amended	Accounting Standards Update No. 2014-06	03/14/2014
940-320-30-2	Amended	Accounting Standards Update No. 2012-04	10/01/2012
940-320-35-1 through 35-3	Amended	Accounting Standards Update No. 2012-04	10/01/2012
940-320-45-4	Amended	Accounting Standards Update No. 2012-04	10/01/2012

05 Overview and Background

General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

940-320-05-1 This Subtopic addresses investments in debt and equity securities by brokers and dealers in securities (broker-dealers). The guidance in this Subtopic is presented in the following two Subsections:

a. General
b. Proprietary Trading Securities.

940-320-05-2 The General Subsections provide guidance relating to clearance and settlement activities.

Proprietary Trading Securities

940-320-05-3 The Proprietary Trading Securities Subsections provide guidance on accounting for proprietary transactions. A broker-dealer may buy and sell securities for its own account. Broker-dealers frequently enter into matched-stock borrow and loan transactions as a finder or conduit, or enter into repurchase and reverse repurchase transaction agreements as part of a matched-book trading strategy. Further, complex trading strategies often involve numerous long and short positions in different products, so that those positions reflect a trading position that is different from its individual components (for example, box spreads, conversions, and reversals).

> Regular-Way Trades

940-320-05-4 The risk of nonperformance of regular-way trades is minimal given all of the following:

a. They are fully collateralized on the trade date.

b. The period of time between trade date and settlement date is reasonably short.

c. Most equity, U.S. government, and mortgage-backed agency securities are affirmed by both parties to the trade and settle net through a clearing entity.

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General Note for Financial Instruments: Some of the items subject to the guidance in this Subtopic are financial instruments. For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic 825. See Section 825-10-15 for guidance on the scope of the Financial Instruments Topic.

General

> Overall Guidance

940-320-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section 940-10-15, with specific qualifications noted below.

> Other Considerations

940-320-15-2 For guidance on investments in debt and equity securities that are part of a financial-restructuring transaction (as described in paragraphs 940-325-05-1, 940-325-30-1, and 940-325-35-1), see Subtopic 940-325.

Proprietary Trading Securities

> Overall Guidance

940-320-15-3 The Proprietary Trading Securities Subsections follow the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section 940-10-15, and apply to all broker-dealers involved in proprietary trading of securities.

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Box Spread

A combination of long calls and short puts (identical with respect to the underlying security issue, number of shares, exercise price, and expiration date) coupled with long puts and short calls (identical with respect to the underlying security issue, number of shares, exercise price, and expiration date). In boxing (coupling), the long calls and short puts with the long puts and short calls, the underlying security issue, the number of shares, and the expiration date remain identical. However, the exercise price of each combination is at a different amount.

Fail-to-Deliver

A fail-to-deliver is a securities sale to another broker-dealer that has not been delivered to the buying broker-dealer by the close of business on the settlement date.

Fail-to-Receive

A fail-to-receive is a securities purchase from another broker-dealer not received from the selling broker-dealer by the close of business on the settlement date.

Fair Value

The price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

Financial Asset

Cash, evidence of an ownership interest in an entity, or a contract that conveys to one entity a right to do either of the following:

a. Receive cash or another financial instrument from a second entity
b. Exchange other financial instruments on potentially favorable terms with the second entity.

Market Participants

Buyers and sellers in the principal (or most advantageous) market for the asset or liability that have all of the following characteristics:

a. They are independent of each other, that is, they are not related parties, although the price in a related-party transaction may be used as an input to a fair value measurement if the reporting entity has evidence that the transaction was entered into at market terms

b. They are knowledgeable, having a reasonable understanding about the asset or liability and the transaction using all available information, including information that might be obtained through due diligence efforts that are usual and customary

c. They are able to enter into a transaction for the asset or liability

d. They are willing to enter into a transaction for the asset or liability, that is, they are motivated but not forced or otherwise compelled to do so.

Orderly Transaction

A transaction that assumes exposure to the market for a period before the measurement date to allow for marketing activities that are usual and customary for transactions involving such assets or liabilities; it is not a forced transaction (for example, a forced liquidation or distress sale).

Proprietary Transactions

Transactions in financial instruments that broker-dealers execute for their own account.

Regular-Way Trades

Regular-way trades include both of the following:

a. All transactions in exchange-traded financial instruments that are expected to settle within the standard settlement cycle of that exchange (for example, three days for U.S. exchanges)

b. All transactions in cash-market-traded financial instruments that are expected to settle within the time frame prevalent or traditional for each specific instrument (for example, for U.S. government securities, one or two days).

Related Parties

Related parties include:

a. Affiliates of the entity

b. Entities for which investments in their equity securities would be required, absent the election of the fair value option under the Fair Value Option Subsection of Section 825-10-15, to be accounted for by the equity method by the investing entity

c. Trusts for the benefit of employees, such as pension and profit-sharing trusts that are managed by or under the trusteeship of management

d. Principal owners of the entity and members of their immediate families

e. Management of the entity and members of their immediate families

f. Other parties with which the entity may deal if one party controls or can significantly influence the management or operating policies of the other to an extent that one of the transacting parties might be prevented from fully pursuing its own separate interests

g. Other parties that can significantly influence the management or operating policies of the transacting parties or that have an ownership interest in one of the transacting parties and can significantly influence the other to an extent that one or more of the transacting parties might be prevented from fully pursuing its own separate interests.

Repurchase Agreement

An agreement under which the transferor (repo party) transfers a financial asset to a transferee (repo counterparty or reverse party) in exchange for cash and concurrently agrees to reacquire that financial asset at a future date for an amount equal to the cash exchanged plus or minus a stipulated interest factor. Instead of cash, other securities or letters of credit sometimes are exchanged. Some repurchase agreements call for repurchase of financial assets that need not be identical to the financial assets transferred.

25 Recognition

General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General Note for Fair Value Option: Some of the items subject to the guidance in this Subtopic may qualify for application of the Fair Value Option Subsections of Subtopic 825-10. Those Subsections (see paragraph 825-10-05-5) address circumstances in which entities may choose, at specified election dates, to measure eligible items at fair value (the fair value option). See Section 825-10-15 for guidance on the scope of the Fair Value Option Subsections of the Financial Instruments Topic.

Proprietary Trading Securities

940-320-25-1 The statement of financial condition shall reflect all regular-way trades on an accrual or trade-date basis. Risk, benefits, and economic potentials are created and conveyed at the trade date (that is, the inception of the contract), which is when the major terms have been agreed to by the parties. To properly reflect the economic effects of purchase and sale transactions for financial instruments (that is, to reflect the assumption of the risks and rewards resulting from changes in the value of financial instruments), broker-dealers shall account for the changes in value relating to all proprietary or principal transactions on a trade-date basis.

940-320-25-2 For example, if the broker-dealer purchased financial instruments for its own account on the date of the statement of financial condition, the transaction shall be reflected in the broker-dealer's inventory with a corresponding credit to net receivable or payable for unsettled regular-way trades. If the exchange does not occur on the contracted settlement date (referred to as a fail-to-deliver or fail-to-receive), these transactions shall be recognized on the statement of financial condition as fails-to-receive or fails-to-deliver.

30 Initial Measurement

ⓘ **General Note:**The Initial Measurement Section provides guidance on the criteria and amounts used to measure a particular item at the date of initial recognition.

General

Related Proposed ASUs

> Clearance and Settlement

940-320-30-1 Accrued interest earned on fixed-income securities shall be computed from the last coupon payment date up to the settlement date. This amount shall be paid to the seller of the instrument by the purchaser, who then receives the full periodic interest amount on the next coupon payment date.

Proprietary Trading Securities

Related Proposed ASUs

940-320-30-2 A broker-dealer may buy and sell securities for its own account. Security positions resulting from proprietary trading shall be measured initially at fair value, including both of the following:

a. Inventory

b. Obligations for short inventory positions.

35 Subsequent Measurement

ⓘ **General Note:**The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

Proprietary Trading Securities

Related Proposed ASUs

940-320-35-1 Security positions resulting from proprietary trading shall be measured subsequently at fair value, including both of the following:

a. Inventory

b. Obligations for short inventory positions.

940-320-35-2 Any unrealized gains or losses resulting from subsequent measurements of these to fair value shall be included in profit or loss.

> Trading Gains and Losses

940-320-35-3 The profit or loss shall be measured by the difference between the acquisition cost and the fair value.

45 Other Presentation Matters

General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

Proprietary Trading Securities

Related Proposed ASUs

> Consolidation

940-320-45-1 For guidance on consolidation of majority-owned investee entities, see paragraph 940-810-45-1.

> Balance Sheet

940-320-45-2 Proprietary securities transactions entered into by a broker-dealer for trading or investment purposes shall be included in securities owned and securities sold, not yet purchased.

940-320-45-3 Payables and receivables arising from unsettled regular-way trades may be recorded net in an account titled net receivable (or payable) for unsettled regular-way trades.

> Income Statement

940-320-45-4 The changes in the fair value of fixed-income securities owned that were purchased at a discount or premium is composed of accreted interest income or changes in the fair value of the securities or both. Consideration should be given to reporting these components separately as interest income and trading gains and losses, respectively.

940-320-45-5 Trading gains and losses, which are composed of both realized and unrealized gains and losses, shall generally be presented net.

940-320-45-6 The income and expense resulting from complex trading strategies as described in paragraph 940-320-05-3 may be reflected net in the income statement, with disclosure of the gross components either on the face of the income statement or in the notes to financial statements.

> Statement of Cash Flows

940-320-45-7 Broker-dealers shall report their trading securities activities in the operating section of the statement of cash flows.

50 Disclosure

General Note: The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

940-320-50-1 If the gross income and expense components resulting from complex trading strategies are not disclosed on the face of the income statement in accordance with paragraph 940-320-45-6, they shall be disclosed in the notes to financial statements.

940 Financial Services—Brokers and Dealers

325 Investments—Other

05 Overview and Background

General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

940-325-05-1 This Subtopic addresses financial-restructuring transactions by brokers and dealers in securities (broker-dealers). Specifically, a broker-dealer may make investments in the form of equity or provide financing to another entity in connection with financial-restructuring transactions. These investments may take many forms, including a direct investment or an investment in an entity (sometimes referred to as a bridge entity) that is established for the purpose of accumulating funds from several sources sufficient to make the investment.

15 Scope and Scope Exceptions

ⓘ **General Note:**The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

ⓘ **General Note for Financial Instruments:**Some of the items subject to the guidance in this Subtopic are financial instruments. For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic 825. See Section 825-10-15 for guidance on the scope of the Financial Instruments Topic.

General

> Overall Guidance

940-325-15-1 This Subtopic follows the same Scope and Scope exceptions as outlined in the Overall Subtopic (see Section 940-10-15) with specific qualifications noted below.

> Other Considerations

940-325-15-2 Receivables and investments in debt and equity securities that are part of a financial-restructuring transaction (as described in paragraphs 940-325-05-1, 940-325-30-1 and 940-325-35-1) are subject to the related guidance in this Subtopic.

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Fair Value

The price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

Market Participants

Buyers and sellers in the principal (or most advantageous) market for the asset or liability that have all of the following characteristics:

a. They are independent of each other, that is, they are not related parties, although the price in a related-party transaction may be used as an input to a fair value measurement if the reporting entity has evidence that the transaction was entered into at market terms

b. They are knowledgeable, having a reasonable understanding about the asset or liability and the transaction using all available information, including information that might be obtained through due diligence efforts that are usual and customary

c. They are able to enter into a transaction for the asset or liability

d. They are willing to enter into a transaction for the asset or liability, that is, they are motivated but not forced or otherwise compelled to do so.

Orderly Transaction

A transaction that assumes exposure to the market for a period before the measurement date to allow for marketing activities that are usual and customary for transactions involving such assets or liabilities; it is not a forced transaction (for example, a forced liquidation or distress sale).

Related Parties

Related parties include:

a. Affiliates of the entity

b. Entities for which investments in their equity securities would be required, absent the election of the fair value option under the Fair Value Option Subsection of Section 825-10-15, to be accounted for by the equity method by the investing entity

c. Trusts for the benefit of employees, such as pension and profit-sharing trusts that are managed by or under the trusteeship of management

d. Principal owners of the entity and members of their immediate families

e. Management of the entity and members of their immediate families

f. Other parties with which the entity may deal if one party controls or can significantly influence the management or operating policies of the other to an extent that one of the transacting parties might be prevented from fully pursuing its own separate interests

g. Other parties that can significantly influence the management or operating policies of the transacting parties or that have an ownership interest in one of the transacting parties and can significantly influence the other to an extent that one or more of the transacting parties might be prevented from fully pursuing its own separate interests.

30 Initial Measurement

General Note:The Initial Measurement Section provides guidance on the criteria and amounts used to measure a particular item at the date of initial recognition.

General

> Financial-Restructuring Transactions

940-325-30-1 Investments in the form of equity or financing provided to another entity in connection with financial-restructuring transactions shall be measured initially at fair value.

35 Subsequent Measurement

General Note:The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General

> Financial-Restructuring Transactions

940-325-35-1 Investments in the form of equity or financing provided to another entity in connection with financial-restructuring transactions shall be measured subsequently at fair value.

45 Other Presentation Matters

General Note:The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

940-325-45-1 For guidance on consolidation of majority-owned investee entities, see paragraph 940-810-45-1.

S00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

940-325-S00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
940-325-S35-1	Added	Accounting Standards Update No. 2009-10	09/18/2009
940-325-S99-1	Added	Accounting Standards Update No. 2009-10	09/18/2009

S35 Subsequent Measurement

General Note:The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General

> Issues Involved in Accounting for Derivative Contracts Held for Trading Purposes and Contracts Involved in Energy Trading and Risk Management

940-325-S35-1 See paragraph 940-325-S99-1, SEC Observer Comment: Issues Involved in Accounting for Derivative Contracts Held for Trading Purposes and Contracts Involved in Energy Trading and Risk Management, for SEC Staff views on accounting for nonderivative energy trading contracts for brokers and dealers.

S99 SEC Materials

General Note: As more fully described in *About the Codification*, the Codification includes selected SEC and SEC Staff content for reference by public companies. The Codification does not replace or affect how the SEC or SEC Staff issues or updates SEC content. SEC Staff content does not constitute Commission-approved rules or interpretations of the SEC.

General

> SEC Staff Guidance

· > Comments Made by SEC Observer at Emerging Issues Task Force (EITF) Meetings

· · > SEC Observer Comment: The Effect of Lessee Involvement in Asset Construction

940-325-S99-1 The guidance prohibiting mark-to-market accounting for nonderivative energy trading contracts (see paragraph 932-330-35-1) is equally applicable to brokers and dealers, as the Guide for brokers and dealers in securities does not afford brokers and dealers special treatment in that regard.

940 Financial Services—Brokers and Dealers 340 Other Assets and Deferred Costs

00 Status

General Note: The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

940-340-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
ABC Agreement	Superseded	Accounting Standards Update No. 2016-19	12/14/2016
940-340-25-2	Amended	Accounting Standards Update No. 2016-19	12/14/2016
940-340-35-1	Amended	Accounting Standards Update No. 2016-01	01/05/2016

05 Overview and Background

General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

940-340-05-1 This Subtopic addresses other assets and deferred costs for brokers and dealers in securities (broker-dealers), including those associated with both of the following:

a. Exchange memberships. Exchange memberships provide the broker-dealer with the right to do business on the exchanges of which the broker-dealer is a member. Some exchange memberships also represent an ownership interest in the exchange. Due to the demutualization of some exchanges, membership may not be aligned with ownership in the exchange as trading privileges are disaggregated from ownership. Many broker-dealers have memberships in several exchanges and have more than one membership in any particular exchange. Memberships are usually registered in the names of individuals who are affiliated with the broker-dealer.

b. Underwriting. In connection with its participation in an underwriting of securities, a broker-dealer may receive various types of revenues as well as incur various related expenses. Such revenues include management fees (in the case of the lead or comanaging underwriter), underwriting fees (in the case of the lead underwriter and other members of the syndicate), and selling concession fees (in the case of all selling group members). The related expenses include but are not limited to marketing and advertising fees, legal fees, stabilization costs, and the other costs associated with setting up the syndicate group. These expenses are accumulated by the lead underwriter and are allocated to the other members of the syndicate on a pro-rata basis.

15 Scope and Scope Exceptions

General Note:The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

940-340-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section 940-10-15.

20 Glossary

General Note:The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Fair Value

The price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

Market Participants

Buyers and sellers in the principal (or most advantageous) market for the asset or liability that have all of the following characteristics:

a. They are independent of each other, that is, they are not related parties, although the price in a related-party transaction may be used as an input to a fair value measurement if the reporting entity has evidence that the transaction was entered into at market terms

b. They are knowledgeable, having a reasonable understanding about the asset or liability and the transaction using all available information, including information that might be obtained through due diligence efforts that are usual and customary

c. They are able to enter into a transaction for the asset or liability

d. They are willing to enter into a transaction for the asset or liability, that is, they are motivated but not forced or otherwise compelled to do so.

Orderly Transaction

A transaction that assumes exposure to the market for a period before the measurement date to allow for marketing activities that are usual and customary for transactions involving such assets or liabilities; it is not a forced transaction (for example, a forced liquidation or distress sale).

Related Parties

Related parties include:

a. Affiliates of the entity

b. Entities for which investments in their equity securities would be required, absent the election of the fair value option under the Fair Value Option Subsection of Section 825-10-15, to be accounted for by the equity method by the investing entity

c. Trusts for the benefit of employees, such as pension and profit-sharing trusts that are managed by or under the trusteeship of management

d. Principal owners of the entity and members of their immediate families

e. Management of the entity and members of their immediate families

f. Other parties with which the entity may deal if one party controls or can significantly influence the management or operating policies of the other to an extent that one of the transacting parties might be prevented from fully pursuing its own separate interests

g. Other parties that can significantly influence the management or operating policies of the transacting parties or that have an ownership interest in one of the transacting parties and can significantly influence the other to an extent that one or more of the transacting parties might be prevented from fully pursuing its own separate interests.

25 Recognition

General Note:The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

> Exchange Memberships

940-340-25-1 The accounting for exchange memberships depends on the rights they convey and the reasons they are held as assets, as follows:

a. Intangible asset. If an exchange membership represents only the right to conduct business on an exchange, the entity shall account for the exchange membership as an intangible asset according to the guidance in Subtopic 350-10. Such memberships may have finite or indefinite lives based on the terms of the arrangement and the estimated life of the membership.

b. Ownership interest in the exchange. An exchange membership shall be accounted for as an ownership interest in the exchange if either of the following conditions is met:

1. The exchange membership represents both an ownership interest and the right to conduct business on the exchange, which are owned by a broker-dealer and held for operating purposes.

2. The exchange membership represents an ownership interest, which must be held by a broker-dealer to conduct business on the exchange.

c. Contributed interest. A membership may be considered to be an asset of the broker-dealer if its use has been contributed to the broker-dealer under a formal or informal subordination agreement. An exchange membership contributed for the use of the broker-dealer and subordinated to claims of general creditors shall be accounted for as a contributed interest and a liability subordinated to claims of general creditors.

940-340-25-2 A membership held in the name of an individual is considered to be an asset of the broker-dealer if it is held by the broker-dealer under an agreement that would require the member, upon leaving the broker-dealer, to do any of the following:

a. Pay the member entity the amount necessary to purchase another membership (if the named individual wishes to retain the membership)

b. Sell the membership and pay the proceeds over to the member entity

c. Transfer the membership for a nominal consideration to a person designated by the member entity and satisfactory to the exchange.

> Underwriting Expenses

940-340-25-3 Underwriting expenses incurred before the actual issuance of the securities shall be deferred.

30 Initial Measurement

ⓘ **General Note:**The Initial Measurement Section provides guidance on the criteria and amounts used to measure a particular item at the date of initial recognition.

General

> Exchange Memberships

940-340-30-1 An exchange membership recognized under paragraph 940-340-25-1 as an ownership interest in the exchange shall be measured initially at cost.

940-340-30-2 An exchange membership recognized under paragraph 940-340-25-1 as a contributed interest shall be measured initially at fair value with the related subordinated liability measured initially at an equal and offsetting amount.

35 Subsequent Measurement

General Note:The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General

> Exchange Memberships

940-340-35-1 An exchange membership recognized under paragraph 940-340-25-1 as an ownership interest in the exchange shall be measured subsequently at cost less impairment. Impairment shall be measured in accordance with paragraphs 321-10-35-3 through 35-4.

940-340-35-2 An exchange membership recognized under paragraph 940-340-25-1 as a contributed interest shall be measured subsequently at fair value with the related subordinated liability measured subsequently at an equal and offsetting amount.

> Underwriting Expenses

940-340-35-3 Underwriting expenses deferred under the guidance in paragraph 940-340-25-3 shall be recognized at the time the related revenues are recorded. In the event that the transaction is not completed and the securities are not issued, the entities that have agreed to participate in the costs associated with the underwriting shall write those costs off to expense.

940 Financial Services—Brokers and Dealers

405 Liabilities

00 Status

General Note: The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

940-405-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
Financial Asset (2nd def.)	Amended	Accounting Standards Update No. 2016-19	12/14/2016
Repurchase Agreement	Amended	Accounting Standards Update No. 2014-11	06/12/2014
Repurchase Agreement (1st def.)	Added	Accounting Standards Update No. 2014-06	03/14/2014
Repurchase Agreement (2nd def.)	Superseded	Accounting Standards Update No. 2014-06	03/14/2014
940-405-45-1	Amended	Accounting Standards Update No. 2014-06	03/14/2014
940-405-55-1	Superseded	Accounting Standards Update No. 2018-09	07/16/2018

05 Overview and Background

General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

940-405-05-1 This Subtopic addresses liabilities for brokers and dealers in securities (broker-dealers), including stock-loan and repo transactions entered into for the purpose of financing investment positions (such as in lieu of a bank loan).

15 Scope and Scope Exceptions

General Note:The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General Note for Financial Instruments:Some of the items subject to the guidance in this Subtopic are financial instruments. For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic 825. See Section 825-10-15 for guidance on the scope of the Financial Instruments Topic.

General

> Overall Guidance

940-405-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section 940-10-15.

20 Glossary

General Note:The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Financial Asset

Cash, evidence of an ownership interest in an entity, or a contract that conveys to one entity a right to do either of the following:

a. Receive cash or another financial instrument from a second entity
b. Exchange other financial instruments on potentially favorable terms with the second entity.

Repurchase Agreement

An agreement under which the transferor (repo party) transfers a financial asset to a transferee (repo counterparty or reverse party) in exchange for cash and concurrently agrees to reacquire that financial asset at a future date for an amount equal to the cash exchanged plus or minus a stipulated interest factor. Instead of cash, other securities or letters of credit sometimes are exchanged. Some repurchase agreements call for repurchase of financial assets that need not be identical to the financial assets transferred.

45 Other Presentation Matters

General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

940-405-45-1 Stock-loan and repurchase transactions may be entered into for the purpose of financing positions (such as in lieu of a bank loan). Topic 860 provides general guidance on such transactions. If such transactions are accounted for as financing transactions, the rebate or interest expense shall be reflected in the income statement as an expense separate and apart from any trading gains or losses.

55 Implementation Guidance and Illustrations

General Note: The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

General

940-405-55-1 Paragraph superseded by Accounting Standards Update No. 2018-09.

940 Financial Services—Brokers and Dealers

605 Revenue Recognition

00 Status

General Note: The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

940-605-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
Half-Turn	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Round-Turn	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
940-605-05-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
940-605-15-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
940-605-25-1 through 25-4	Superseded	Accounting Standards Update No. 2014-09	05/28/2014

940-605-30-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
940-605-30-2	Superseded	Accounting Standards Update No. 2014-09	05/28/2014

05 Overview and Background

General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

940-605-05-1 Paragraph superseded by Accounting Standards Update No. 2014-09.

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General Note for Financial Instruments: Some of the items subject to the guidance in this Subtopic are financial instruments. For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic 825. See Section 825-10-15 for guidance on the scope of the Financial Instruments Topic.

General

940-605-15-1 Paragraph superseded by Accounting Standards Update No. 2014-09.

20 Glossary

General Note:The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Editor's Note:All glossary terms have been removed from this Subtopic. See this Subtopic's Status Section (Section 00) and/or this Section's archive for more information.

25 Recognition

General Note:The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General Note for Fair Value Option:Some of the items subject to the guidance in this Subtopic may qualify for application of the Fair Value Option Subsections of Subtopic 825-10. Those Subsections (see paragraph 825-10-05-5) address circumstances in which entities may choose, at specified election dates, to measure eligible items at fair value (the fair value option). See Section 825-10-15 for guidance on the scope of the Fair Value Option Subsections of the Financial Instruments Topic.

General

940-605-25-1 Paragraph superseded by Accounting Standards Update No. 2014-09.

940-605-25-2 Paragraph superseded by Accounting Standards Update No. 2014-09.

940-605-25-3 Paragraph superseded by Accounting Standards Update No. 2014-09.

940-605-25-4 Paragraph superseded by Accounting Standards Update No. 2014-09.

30 Initial Measurement

General Note:The Initial Measurement Section provides guidance on the criteria and amounts used to measure a particular item at the date of initial recognition.

General

940-605-30-1 Paragraph superseded by Accounting Standards Update No. 2014-09.

940-605-30-2 Paragraph superseded by Accounting Standards Update No. 2014-09.

940 Financial Services—Brokers and Dealers 720 Other Expenses

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

940-720-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date

12b-1	Added	Accounting Standards Update No. 2014-09	05/28/2014
940-720-05-1	Added	Accounting Standards Update No. 2014-09	05/28/2014
940-720-15-1	Added	Accounting Standards Update No. 2014-09	05/28/2014
940-720-25-1	Added	Accounting Standards Update No. 2014-09	05/28/2014

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

940-720-05-1 This Subtopic addresses the accounting for mutual fund distribution costs for brokers and dealers in securities (broker-dealers).

15 Scope and Scope Exceptions

General Note:The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General Note for Financial Instruments:Some of the items subject to the guidance in this Subtopic are financial instruments. For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic 825. See Section 825-10-15 for guidance on the scope of the Financial Instruments Topic.

General

940-720-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section 940-10-15.

20 Glossary

General Note:The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

12b-1

Rule 12b-1 in Chapter 17 of the Code of Federal Regulations is one of the regulations implementing the Investment Company Act of 1940.

25 Recognition

General Note:The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

940-720-25-1 With respect to 12b-1 fees and deferred sales charges, see the cost guidance in Subtopic 946-720.

940 Financial Services—Brokers and Dealers

810 Consolidation

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

940-810-00-1 No updates have been made to this subtopic.

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

940-810-05-1 This Subtopic addresses consolidation by brokers and dealers in securities (broker-dealers).

15 Scope and Scope Exceptions

General Note:The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

940-810-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section 940-10-15.

45 Other Presentation Matters

General Note:The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

940-810-45-1 Paragraph 810-10-15-10(a)(2) states that a majority-owned entity that is not in the scope of the Variable Interest Entities Subsection of Section 810-10-15 and in which a parent has a controlling financial interest shall not be consolidated if the parent is a broker-dealer within the scope of Topic 940 and control is likely to be temporary.

S40 Derecognition

General Note:The Derecognition Section provides guidance on determining whether and when an entity should remove an item from the financial statements. For example, the entity would derecognize an asset because it no longer has rights to the asset or it would derecognize a liability because it no longer has any obligation.

General

> Certain Transfers of Nonperforming Assets

940-810-S40-1 See paragraph 942-810-S99-1, SAB Topic 5.V, for SEC Staff views on accounting for certain transfers of nonperforming assets.

940 Financial Services—Brokers and Dealers 820 Fair Value Measurement

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

940-820-00-1 The following table identifies the changes made to this Subtopic.

Note: Subtopic title changed by Accounting Standards Update No. 2011-04 on 05/12/2011 from *Fair Value Measurements and Disclosures* to *Fair Value Measurement*.

Paragraph	Action	Accounting Standards Update	Date
940-820-30-1	Amended	Accounting Standards Update No. 2022-03	06/30/2022
940-820-30-1	Amended	Accounting Standards Update No. 2012-04	10/01/2012
940-820-50-1	Amended	Accounting Standards Update No. 2012-04	10/01/2012

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

940-820-05-1 This Subtopic addresses fair value measurements and disclosures for brokers and dealers in securities (broker-dealers).

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

940-820-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section 940-10-15.

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Fair Value

The price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

Market Participants

Buyers and sellers in the principal (or most advantageous) market for the asset or liability that have all of the following characteristics:

a. They are independent of each other, that is, they are not related parties, although the price in a related-party transaction may be used as an input to a fair value measurement if the reporting entity has evidence that the transaction was entered into at market terms

b. They are knowledgeable, having a reasonable understanding about the asset or liability and the transaction using all available information, including information that might be obtained through due diligence efforts that are usual and customary

c. They are able to enter into a transaction for the asset or liability

d. They are willing to enter into a transaction for the asset or liability, that is, they are motivated but not forced or otherwise compelled to do so.

Orderly Transaction

A transaction that assumes exposure to the market for a period before the measurement date to allow for marketing activities that are usual and customary for transactions involving such assets or liabilities; it is not a forced transaction (for example, a forced liquidation or distress sale).

Related Parties

Related parties include:

a. Affiliates of the entity

b. Entities for which investments in their equity securities would be required, absent the election of the fair value option under the Fair Value Option Subsection of Section 825-10-15, to be accounted for by the equity method by the investing entity

c. Trusts for the benefit of employees, such as pension and profit-sharing trusts that are managed by or under the trusteeship of management

d. Principal owners of the entity and members of their immediate families

e. Management of the entity and members of their immediate families

f. Other parties with which the entity may deal if one party controls or can significantly influence the management or operating policies of the other to an extent that one of the transacting parties might be prevented from fully pursuing its own separate interests

g. Other parties that can significantly influence the management or operating policies of the transacting parties or that have an ownership interest in one of the transacting parties and can significantly influence the other to an extent that one or more of the transacting parties might be prevented from fully pursuing its own separate interests.

30 Initial Measurement

General Note:The Initial Measurement Section provides guidance on the criteria and amounts used to measure a particular item at the date of initial recognition.

General

940-820-30-1 This Section does not purport to delineate all factors that may be considered by management in determining the fair value assigned to a particular financial instrument. However, the following is a list of certain factors that have been taken into consideration by broker-dealers as part of the determination of fair value:

a. Financial standing of the issuer

b. Business and financial plan of the issuer

c. Cost at date of purchase

d. The liquidity of the market

e. Contractual restrictions on salability

f. Pending public offering with respect to the financial instrument

g. Pending reorganization activity affecting the financial instrument (such as merger proposals, tender offers, debt restructurings, and conversions)

h. Reported prices and the extent of public trading in similar financial instruments of the issuer or comparable entities

i. Ability of the issuer to obtain needed financing

j. Changes in the economic conditions affecting the issuer

k. A recent purchase or sale of a security of the entity

l. Pricing by other dealers in similar securities.

PENDING CONTENT

Transition Date: P December 16, 2023; N December 16, 2024 | **Transition Guidance:** 820-10-65-13

This Section does not purport to delineate all factors that may be considered by management in determining the fair value assigned to a particular financial instrument. However, the following is a list of certain factors that have been taken into consideration by broker-dealers as part of the determination of fair value:

a. Financial standing of the issuer

b. Business and financial plan of the issuer

c. Cost at date of purchase

d. The liquidity of the market

e. Restrictions on salability (see paragraphs 820-10-35-6B and 820-10-35-36B)

f. Pending public offering with respect to the financial instrument

g. Pending reorganization activity affecting the financial instrument (such as merger proposals, tender offers, debt restructurings, and conversions)

h. Reported prices and the extent of public trading in similar financial instruments of the issuer or comparable entities

i. Ability of the issuer to obtain needed financing

j. Changes in the economic conditions affecting the issuer

k. A recent purchase or sale of a security of the entity

l. Pricing by other dealers in similar securities.

50 Disclosure

General Note: The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

940-820-50-1 Notes to the financial statements shall disclose all of the following if financial instruments' fair values are measured at lower than quoted prices (see Example in paragraph 820-10-55-52):

a. Description of the financial instrument

b. The quoted price of the financial instrument

c. Fair value reported in the statement of financial condition

d. Methods and significant assumptions used to value the instrument at lower than the quoted price.